

Inflation Watch: 29 July 2026

StatsSA's June inflation report was released last week, with Headline CPI coming in at 5% – the highest number in two years – while core inflation accelerated to 4.1%, up from 3.8%¹. The inflation figures, along with the MPC policy announcement shortly afterwards, surprised financial markets: on Tuesday, the value of the Rand fell as investors had anticipated lower inflation prints despite the Strait of Hormuz crisis showing little signs of being resolved. Following the MPC's hawkish hold, which defied expectations of a hike, it depreciated by two percent between the 23rd and the 24th.

Daily Change in Rand Value for Select Currencies

Currency	Jul 20	Jul 21	Jul 22	Jul 23	Jul 24
US Dollar	0,007	0,224	-0,246	0,316	-2,528
Japanese Yen	-0,018	0,409	-0,006	0,529	-2,332
Chinese Yuan	-0,170	0,244	-0,146	0,268	-2,475
Euro	0,029	0,360	-0,127	0,250	-2,276
GB Pound	-0,112	0,448	0,195	0,406	-2,287

Note: CPI figures were released on the morning of the 22nd, while the MPC announcement was made on the afternoon of the 23rd.

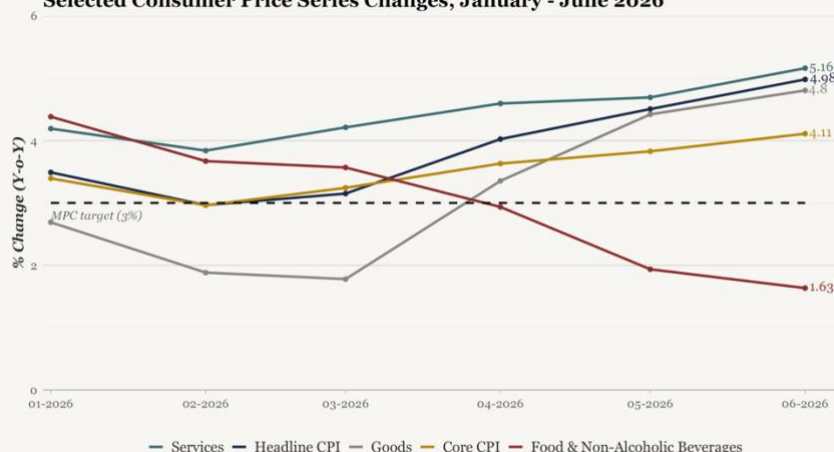
CPI by Main Category, 2026Q2

Category	Basket Weight	Apr	May	Jun
Housing and utilities	24,1	5,17	5,26	5,53
Food and non-alcoholic beverages	18,23	2,94	1,94	1,63
Transport	13,89	4,89	9,39	12,70
Insurance and financial services	10,41	5,70	5,70	5,89
Restaurants and accommodation services	6,12	5,19	5,82	5,07
Information and communication	5,47	0,89	1,67	1,67
Alcoholic beverages and tobacco	4,64	3,97	3,86	3,56
Clothing and footwear	3,9	1,19	1,19	1,19
Furnishings, household equipment and maintenance	3,33	0,30	0,10	0,50
Recreation, sport and culture	2,94	2,66	3,35	3,44
Personal care and miscellaneous services	2,78	3,26	3,25	3,25
Education services	2,41	5,36	5,36	5,36
Health	1,78	3,65	3,45	3,54

Headline Inflation: Fuel woes overshadow lower food prices

The June year-on-year CPI of 5% was above what had been anticipated according to surveying by Reuters, with fuel prices pushing the headline figure further above the Reserve Bank's target of 3%. The overall headline CPI for the quarter was at 4.5%, marginally lower than the 4.6% previously forecasted by the MPC.

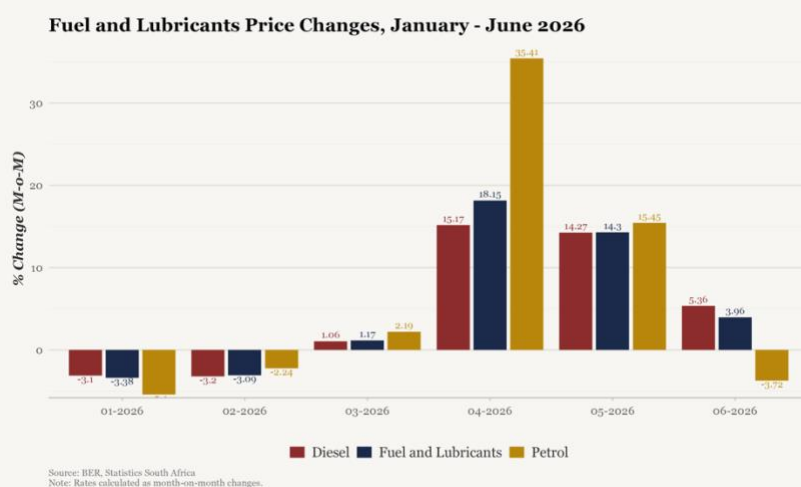
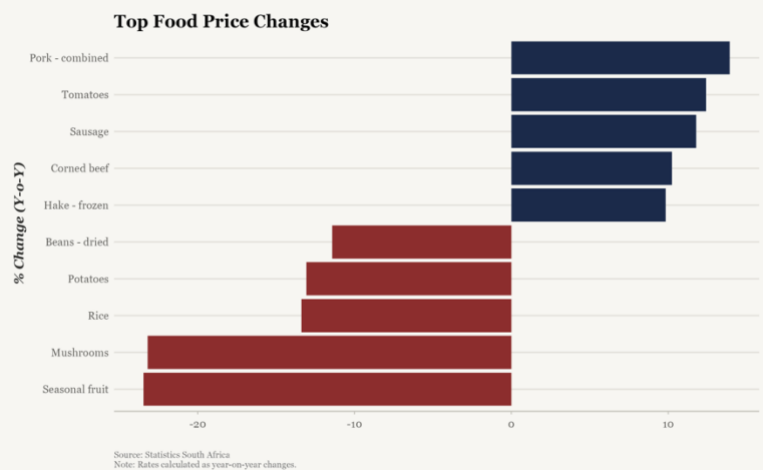
Selected Consumer Price Series Changes, January - June 2026



Source: BER, Statistics South Africa
Note: Rates calculated as year-on-year changes.

¹ Core inflation is measured the as CPI excluding food and non-alcoholic beverages, fuel and energy.

Food and non-alcoholic beverages reported a year-on-year increase of just 1.63%, continuing a disinflationary trend over the last year, with the 3 most recent months showing price increases below the 3% target. While meat prices remained elevated as the Foot-and-Mouth Disease continues to plague farmers, staples like rice, potatoes and beans saw prices fall significantly compared to last year June.



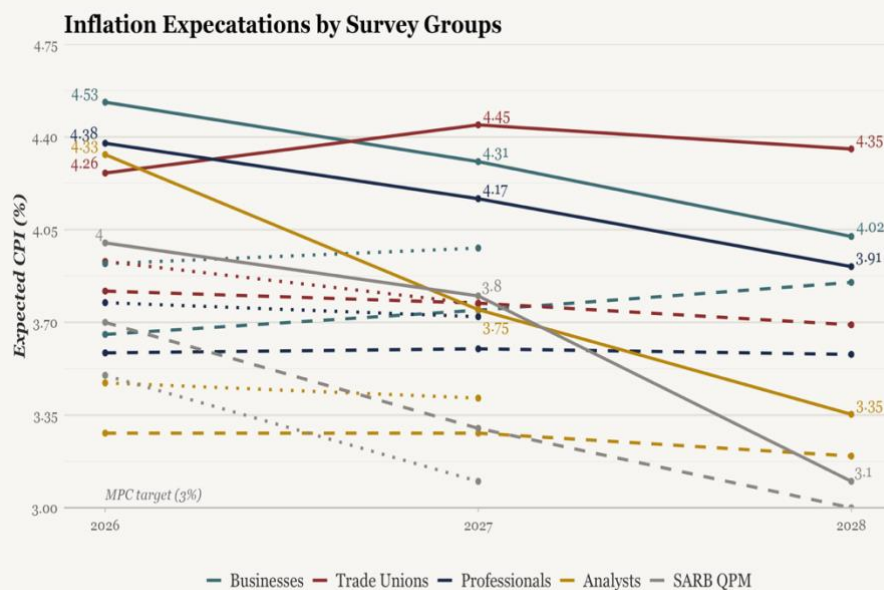
The respite provided by a positive overall print for food prices was undone by a 12.7% annualized increase in **transport** prices. Although petrol prices fell slightly in monthly terms between May and June, fuel and lubricant prices remained high as geopolitical tensions persist. A reduction in the South African government's fuel levy relief also held petrol and diesel at higher levels. Although other important categories

in the CPI basket like **housing and utilities**, and **insurance and financial services** have also seen accelerating levels of inflation in the second quarter, it has been most dramatic for transport costs, with the increase from 4.89% in April to the most recent figure representing an increase of over 150%.

Core Inflation: Second-round effects take hold

It has been around five months since the Hormuz Strait was first closed at the end of February 2026, with its effects now beginning to show up in prices downstream from oil, with **core inflation** creeping above 4% in June and 3.8% overall for the second quarter of the year, higher than had been anticipated. Inflation among **services** of 5.16% and **goods** inflation of 4.8% (up from 4% and 2.7% respectively since the beginning of the year) suggest that firms are passing on a greater amount of the increases in costs that have resulted from the fuel price increases.

Outlook: Cautious optimism – in the long-run



Shortly after the MPC announced their decision not to hike rates, the oil price per barrel re-entered triple-digits – a somewhat comical exemplification of the current economic situation. Nevertheless, the Reserve Bank foresees headline inflation decelerating in the coming months to 4.3% by the year's end, a significant downwards revision from the previous MPC meeting's prediction of 4.8%. In his address last week, Governor Lesetja

Kganyago acknowledged that a hike remains likely to be required going forward, though the recent decision to hold may have compounded the uncertainty around the magnitude of the upcoming hikes.

Looking forward, the Reserve Bank's Quarterly Projection Model estimates headline CPI to come in at 3.8% over the course of 2027, there after falling by another seven percentage points to 3.1%, marginally missing the 3% target. The BER's inflation expectations survey suggests the most recent QPM's forward-looking estimates are optimistic²: for 2026, all respondents believe inflation will be between a quarter of a percentage point higher than the 4% suggested by SARB, while businesses, professionals and trade unions think CPI will be between 0.3 and 0.7 percentage points higher than the 3.8% predicted next year, with the divergence only growing as groups look towards 2028.

Despite the QPM figures reflecting more recent modelling, the responsiveness of expectations to deteriorating conditions in the two most recent BER surveys indicate that we may see the differences in expectations persist following the upwards surprise in the June CPI prints. This would be particularly concerning as trade unions and businesses price their wages and goods according to their expectations. Higher wages and prices would thus result in underlying inflation remaining elevated and, in an extreme case, un-anchoring inflation expectations as the 3% target is persistently missed. On the other hand, the policy credibility in fiscal and monetary management built up in recent years support a more optimistic outlook on price stability.

~ Jan Smuts

² The differences between SARB QPM's 2026 estimate and the BER estimates may be due the fact that SARB's estimates are the average of the whole year, while BER responses may reflect the outlook for the remainder of the year.

